SENATE FLOOR VERSION
April 21, 2026
AS AMENDED

ENGROSSED HOUSE
BILL NO. 1170

By: Lepak of the House

and

Daniels and Jett of the Senate

[public finance - fiduciary's standard of care - nonpecuniary factors - authority - proxy votes - notice - Attorney General - immunity - indemnification - severability - codification]

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 9101 of Title 62, unless there is created a duplication in numbering, reads as follows:

This act shall be known and may be cited as the "Oklahoma Public Finance Protection Act".

SECTION 2. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 9102 of Title 62, unless there is created a duplication in numbering, reads as follows:

As used in the Oklahoma Public Finance Protection Act:

1. "Fiduciary" means a person who, with respect to a pension benefit plan:

a. exercises any discretionary authority or discretionary control respecting management of such plan or exercises any authority or control respecting management or disposition of its assets,

b. renders investment advice for a fee or other compensation, direct or indirect, with respect to any monies or other property of such plan, or has any authority or responsibility to do so, or

c. has any discretionary authority or discretionary responsibility in the administration of such plan, including making recommendations or voting a plan's shares or proxies;

2. "Nonpecuniary" means any factor or consideration that is collateral to or not reasonably likely to affect or impact the financial risk or return of an investment, including the promotion, furtherance, or achievement of environmental, social, or political goals. Evidence of intent may be considered only to the extent it demonstrates that a factor was not reasonably believed to have a material effect on financial risk or return;

3. "Pecuniary factor" means a factor that a prudent person in a like capacity would reasonably believe has a material effect or impact on the financial risk or return on an investment, based on an appropriate investment horizon consistent with the plan's investment objectives and funding policy; and

4. "Pension benefit plan" or "plan" shall mean any plan, fund, or program which was heretofore or is hereafter established, maintained, or offered by the State of Oklahoma or any subdivision, county, municipality, agency, or instrumentality thereof, or any school, college, university, administration, authority, or other enterprise operated by the State of Oklahoma, to the extent that by its terms or as a result of surrounding circumstances:

a. provides retirement income or other retirement benefits to employees or former employees, or

b. results in a deferral of income by such employees for a period extending to the termination of covered employment or beyond, and

c. the term does not include a defined contribution plan under the Retirement Freedom Act, established pursuant to Section 935.1 et seq. of Title 74 of the Oklahoma Statutes, except that investment options selected as default investment options for participating employees shall be selected in adherence to the requirements of this act.

SECTION 3. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 9103 of Title 62, unless there is created a duplication in numbering, reads as follows:

A fiduciary shall discharge duties with respect to a plan solely based on pecuniary factors and applicable state law requirements:

1. For the exclusive purpose of providing pecuniary benefits to participants and their beneficiaries and defraying reasonable expenses of administering the plan;

2. With the care, skill, prudence, and diligence under the circumstances then prevailing that a prudent investor acting in a like capacity and familiar with such matters would use in the conduct of an enterprise of a like character and with like aims;

3. By diversifying the investments of the plan so as to minimize the risk of large losses, unless under the circumstances it is clearly prudent not to do so; and

4. In accordance with the documents and instruments governing the plan and insofar as such documents and instruments are consistent with the fiduciary responsibilities provided by law, including the provisions of this act.

SECTION 4. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 9104 of Title 62, unless there is created a duplication in numbering, reads as follows:

A fiduciary's evaluation of an investment, or evaluation or exercise of any right appurtenant to an investment, must take into account only pecuniary factors. Plan fiduciaries shall not promote nonpecuniary benefits or any other nonpecuniary goals.

SECTION 5. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 9105 of Title 62, unless there is created a duplication in numbering, reads as follows:

A. All proxies held by or on behalf of a pension benefit plan or the beneficiaries thereof shall be voted solely in the pecuniary interest of plan participants. Voting to further nonpecuniary or other benefits or goals is prohibited.

B. Unless no economically practicable alternative is available, a fiduciary may not adopt a practice of following the recommendations of a proxy advisory firm or other service provider unless such firm or service provider has a practice of, and in writing commits to, following proxy voting guidelines that are consistent with the plan's fiduciary obligation to act based only on pecuniary factors.

C. Unless no economically practicable alternative is available, plan assets shall not be entrusted to a fiduciary unless that fiduciary has a practice of, and in writing commits to, following guidelines, when engaging with portfolio companies and vote shares or proxies that match the plan's obligation to act based only on pecuniary factors.

D. With respect to the pension benefit plans, all such proxy voting authority shall reside with the respective Board of Trustees, except that the Board of Trustees may delegate such authority to a person who has a practice of, and in writing commits to, following guidelines that match the plan's obligation to act based only on pecuniary factors.

E. All proxy votes shall be tabulated and reported annually to the respective Board of Trustees. For each vote, the report shall contain a vote caption, the plan's vote, the recommendation of company management, and, if applicable, the proxy advisor's recommendation. These reports shall be posted on a publicly available webpage.

SECTION 6. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 9106 of Title 62, unless there is created a duplication in numbering, reads as follows:

A. If the State Treasurer has reasonable cause to believe that a person has engaged in, is engaging in, or is about to engage in a violation of this act, notification shall be provided to the Speaker of the Oklahoma House of Representatives, the President Pro Tempore of the Oklahoma State Senate, the Pension Oversight Commission, and the matter may be referred to the Attorney General for enforcement.

B. This act may be enforced by the Attorney General, who is authorized to:

1. Require such person to file on such forms as he or she prescribes a statement or report in writing, under oath, as to all the facts and circumstances concerning the violation, and such other data and information as he or she may deem necessary;

2. Examine under oath any person in connection with the violation;

3. Examine any record, book, document, or paper as he or she may deem necessary; and

4. Pursuant to an order of the Supreme Court of Oklahoma, impound any record, book, document, paper, or sample or material relating to such practice and retain the same in his or her possession until the completion of all proceedings undertaken under this act or in the courts.

SECTION 7. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 9107 of Title 62, unless there is created a duplication in numbering, reads as follows:

A. The State of Oklahoma, pension benefit plans as defined in this act, as well as officers, board members, and employees of the state or the pension benefit plans are immune from civil liability for any act or omission related to any provision under this act.

B. In addition to the immunity provided under subsection A of this section, officers, board members, and employees of the state or the pension benefit plans are entitled to indemnification from the pension benefit plan for all losses, costs and expenses, including reasonable attorney fees, associated with defending against any claim or suit related to any provision of this act.

SECTION 8. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 9108 of Title 62, unless there is created a duplication in numbering, reads as follows:

Should a court of competent jurisdiction hold any provision of this act to be invalid, such provision shall be deemed severable and not affect the validity of any other provision of this act.

COMMITTEE REPORT BY: COMMITTEE ON RETIREMENT AND GOVERNMENT RESOURCES
April 21, 2026 - DO PASS AS AMENDED